

homes in overall residential sales across the Top 8 markets (Mumbai, Hyderabad, Bengaluru, Chennai, Pune, Delhi NCR, Kolkata and Ahmedabad) in India fell to 40 per cent in 2022. And, as homebuyers' willingness to purchase affordable houses decline and the costs of construction surge, developers are also moving away from the segment.

The fall in new project launches in the segment is even starker. While in 2019, over 50 per cent of the new residential units launched in these cities (markets) were in the affordable segment, the share has come down to 31 per cent in 2022. According to Anuj Puri, Chairman of real estate consultancy Anarock Group, the affordable housing segment is in dire straits. He says that in spite of the major disruptions in 2020 and 2021, the residential real estate market had bounced back by early 2022, registering high double-digit growth in sales and new launches. "However, there seems to be one major 'fatality'; that is affordable housing. Once the source of considerable political hype, this segment is not merely just languishing today—it seems to be in the ICU," he says.

Agrees Yash Miglani, MD of Migsun Group—a real estate developer that works extensively in the Noida, Greater Noida and Rajnagar Extension micro markets of Delhi NCR. "With most mid-housing buyers severely affected on many levels by the global coronavirus pandemic, the affordable housing sector had gone through a rough patch post-pandemic," he says.

**PRADEEP AGGARWAL**, Chairman of real estate developer Signature Global, says that since 2015, his Gurugram-headquartered firm has built and delivered over 8,200 affordable homes. But over the past three years, the share of affordable homes in his portfolio has shrunk, with the focus shifting towards mid-segment houses. After the Covid-19 waves declined in 2022, developers have been increasingly looking at the mid-income homes segment than the affordable category, says Aggarwal. "Today, customers are look-

ing for larger units, having three bedrooms rather than compact 2BHK apartments. As a result, developers who used to launch ₹30-40 lakh apartments under the affordable category are coming up with new projects in the ₹50-70 lakh price range," he says.

Aggarwal, who started his journey in the real estate business by building affordable homes, cites increasing raw material costs due to the ongoing war between Russia and Ukraine, apart from changing consumer preferences post-Covid-19, for this movement to high-

## NORTH BOUND

The average per sq. ft prices of residential units have surged nearly 14 per cent between 2019 and 2022

|              | 2019                    | 2022                    | Percentage change* |
|--------------|-------------------------|-------------------------|--------------------|
| MUMBAI       | > 9,370-9,570           | > 10,150-10,350         | > 8.3%             |
| HYDERABAD    | > 5,240-5,440           | > 6,130-6,330           | > 17%              |
| BENGALURU    | > 5,130-5,330           | > 6,060-6,260           | > 18.1%            |
| CHENNAI      | > 5,020-5,220           | > 5,660-5,860           | > 12.8%            |
| PUNE         | > 4,790-4,990           | > 5,530-5,730           | > 15.4%            |
| DELHI NCR    | > 4,170-4,370           | > 4,810-5,010           | > 15.4%            |
| KOLKATA      | > 4,040-4,240           | > 4,620-4,820           | > 14.4%            |
| AHMEDABAD    | > 2,920-3,120           | > 3,600-3,800           | > 23.3%            |
| <b>TOTAL</b> | <b>&gt; 5,930-6,130</b> | <b>&gt; 6,750-6,950</b> | <b>&gt; 13.8%</b>  |

AVERAGE PRICES OF RESIDENTIAL UNITS IN ₹ PER SQ. FT ACROSS CITIES;  
\*SINCE 2019 **SOURCE** REA INDIA, INDUSTRY

er-priced segments. "The cost of key raw materials has surged steadily since the war. Additionally, as demand for residential homes peaked across markets, it resulted in a surge in new launches; land prices have also gone up significantly in the past one and a half years. These factors are making affordable projects, especially those priced below ₹40 lakh a unit, unviable," says Aggarwal. But homebuyers' willingness to purchase homes has hardly been affected, he argues. "That's